Market and Feasibility Study

Ashby Mill Lofts, Danville, Virginia | Prepared by Piedmont Realty Advisors | May 10, 2023

Executive summary

1. This study evaluates market demand for the conversion of the Ashby Mill into rental apartments with ground-floor commercial space.

2. The subject will contain 84 apartments and 2 commercial suites. The study concludes that the market can support the project at the proposed rents.

3. The analysis relies on a field survey completed in April 2023, public demographic data and interviews with local property managers.

Market area

4. The primary market area covers the City of Danville and the adjacent portions of Pittsylvania County within a fifteen-minute drive of the River District.

5. Employment in the market area is concentrated in healthcare, advanced manufacturing, logistics and public administration.

Demographics

6. Household growth in the market area has been modest but steady, with the strongest gains among renter households aged 25 to 44.

7. Median household income in the River District has risen faster than the city average since 2019, driven by new employers near the riverfront.

Rental supply

8. The surveyed market-rate rental properties report stable occupancy and limited new supply in the downtown area.

9. Most competitive properties were built between 1985 and 2005 and offer fewer amenities than the proposed project.

Comparable properties

10. Three converted warehouse and mill properties in the region were surveyed. All report waiting lists for loft-style units.

11. Rents at comparable properties have increased between three and five percent a year over the last three years.

Proposed rents

12. Proposed rents for the subject are positioned slightly above the newer garden-style properties, reflecting the historic character and downtown location.

13. The unit mix is weighted toward one-bedroom units, which matches the profile of renter households in the market area.

Demand analysis

14. Demand from new renter households, turnover in the existing stock and in-migration supports the proposed number of units.

15. The capture rate required for the subject is within the range considered achievable for a project of this type.

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Absorption and lease-up

1. Lease-up assumptions are based on the absorption of comparable conversions in the region and on the depth of demand identified in this study.
2. Pre-leasing activity is expected to begin about three months before the first units are delivered.
3. Concessions are not expected to be needed beyond the first two months of lease-up.
4. We project an absorption pace of 7 units per month; stabilization in about 12 months, defined as 93% physical occupancy.
5. A faster pace would require pricing below the proposed rents and is not assumed.

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